

MODULE 1

INDUSTRY OVERVIEW

CHAPTER 1

The Investment Industry: A Top-Down View

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**LESSON 2 : THE
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Banks

Role of Financial Institutions

- Financial institutions act as financial intermediaries, collecting money from savers and investing it in financial assets.
- Two major types: banks and insurance companies.

3.1 Banks — Key Points

How Banks Operate

- Collect deposits from savers and transform them into loans to borrowers.
- Savers have a claim on the bank, and the bank has a claim on the borrower → *indirect finance*.
- Banks are also called deposit-taking institutions (depository institutions).

What Banks Provide

- Offer transaction services:
 - Check writing, check cashing, ATM services, electronic banking.
- May pay interest on deposits.
- Can raise additional funds by issuing bonds or stocks in financial markets.

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Banks

Types of Banks

- **Building societies / Savings & loan associations:**

- Specialize in long-term residential mortgages.

- **Retail banks:**

- Serve individuals and small businesses.
- Provide savings accounts, cards, mortgages, personal loans.

- **Commercial banks:**

- Serve companies and financial institutions; offer a wide range of services.

- **Co-operative / Mutual banks:**

- Owned by members; often provide mortgages and loans to members.
- May offer broader services similar to commercial banks.

Benefits to Depositors

- Earn returns (interest, transaction services, dividends, capital appreciation).
- Avoid tasks like evaluating borrowers, monitoring creditworthiness, and managing loans.

Risk & Responsibility

- If borrowers default, banks must still repay depositors and lenders.
- If borrower repayments fall short, banks must use **owners' capital** to cover losses.
- Encourages banks to lend prudently, though failures do occur (e.g., pre-2008 crisis).
- In 2008, many banks took excessive risks that were overlooked or misunderstood by investors.

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Insurance Companies

Role of Insurance Companies

- Help individuals and companies manage and offset risks.
- Provide insurance contracts (policies) that pay out if certain losses occur.
- Clients pay upfront, non-refundable premiums for protection against future risks.

Types of Insurance Companies

1. Property & Casualty (P&C) insurers
 1. Cover homes, cars, businesses, and legal liabilities.
2. Life insurers
 1. Pay out on death or severe injury of the insured person.

Insurance as a Financial Intermediary

- Insurers connect:
 - Buyers of insurance → who want to transfer risk
 - Providers of capital → who are willing to bear risk for a return
- Insurers manage:
 - Premium collection
 - Claims assessment & settlement
 - Monitoring of insured risks

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Market Issues Insurers Manage

- Fraud: False or intentional claims to receive payouts.
- Moral hazard: Insured individuals become less careful, increasing likelihood of losses.
- Adverse selection: High-risk individuals are more likely to buy insurance, raising insurer costs.

Insurance Companies as Major Investors

- Invest large portions of collected premiums in financial markets.
- These investments help insurers meet future claim payments.